

PENOBSCOT FINANCIAL ADVISORS

INVESTMENT POLICY STATEMENT

John Smith

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1. **Purpose**

The Investment Policy Statement (“IPS”) is the cornerstone of the investment management process and it is the foundation upon which our work together will be based. Investment decisions will be made in concert with the guidelines that Penobscot Financial Advisors (“the Advisor” or “PFA”) and John Smith (“the Client”) agree upon and outline in this document.

The Investment Policy Statement establishes the criteria for matching the Client’s objectives to an appropriate investment plan; provides a frame of reference to keep the Advisor and Client focused on investment objectives, especially during periods of market volatility; and establishes the criteria against which progress will be measured.

2. **Duties and Responsibilities**

a. The Advisor

Penobscot Financial Advisors, as a SEC Registered Investment Adviser, will act as a fiduciary to the Client and manage the Portfolio in a manner consistent with this IPS. PFA’s investment committee convenes bi-weekly and is supported by automated monitoring systems for portfolio drift and pre-defined limit breaches.

The Advisor is responsible for: recommending an appropriate asset allocation; evaluation and selection of securities within each asset class; implementation of the strategy through trading and rebalancing; and ongoing monitoring of portfolio performance and drift.

b. The Client

The Client is responsible for reporting any material changes in financial circumstances or goals to the Advisor in a timely manner. Any necessary revisions to this IPS will be made in response to such changes and reviewed with the Client.

3. **Client Profile**

a. The Portfolio

This IPS governs the current Management Agreement(s) executed between the Client and Advisor. The accounts listed below comprise the assets to be managed in accordance with this IPS.

Account	Account Type	Approximate Value
John Smith – TIAA Traditional 403(b)	Tax-Deferred	\$1,200,000
John Smith – TIAA Roth 403(b)	Tax-Free	\$350,000
John & Sarah Smith Joint Brokerage	Taxable	\$650,000
John Smith – Vanguard Rollover IRA	Tax-Deferred	\$300,000
Total		\$2,500,000

b. Investment Objectives

A diligent investment process is used to match your objectives with an appropriate investment strategy. The Client desires to obtain the following stated investment objectives:

- Capital Preservation
- Income Generation
- Growth and Income
- Inflation Protection
- Estate Planning / Legacy

c. Risk Tolerance

An understanding of your risk tolerance helps define an investment strategy that you will feel confident maintaining through various market conditions. Collectively, you and the Advisor have concluded that your risk tolerance falls into the category noted below.

- Conservative
- Moderately Conservative
- Moderate
- Moderately Aggressive
- Aggressive

d. Time Horizon

In determining your risk tolerance, the Advisor assessed the time horizon for the Portfolio. The Advisor has discussed the investment objectives of this portfolio with you, and together you have determined the investment horizon falls into the range noted below.

- 0 – 1 Year
- 1 – 5 Years
- 5 – 10 Years
- 10 – 20 Years
- 20+ Years

e. Liquidity Needs

John plans to retire in 3 years (age 65) and will begin Required Minimum Distributions (RMDs) from tax-deferred accounts at age 73. Portfolio should support annual distributions of approximately \$100,000–\$120,000 in retirement. An emergency reserve of \$50,000 will be maintained in money market funds.

4. Risk

Adequate holdings will be utilized to limit security-specific risks. Market exposures will be monitored routinely to limit geopolitical, sector, or industry-specific risks. The Portfolio will be consistently maintained within predetermined limits on drift from an optimized portfolio. Risk and performance will be considered at the aggregate portfolio level.

5. Return

Given the risk tolerance noted above, the Advisor will seek the best possible returns at an appropriate level of risk. The portfolio targets an annualized net return of 5–7% over a full market cycle, balancing growth needs with capital preservation as the Client approaches retirement. Focus is on total return (growth + income) with a gradual shift toward income-producing assets.

6. Asset Allocation

Prudent investing relies on a sound asset allocation strategy. The following Strategic Asset Allocation is recommended for John's Portfolio:

Overall Target Asset Allocation: Moderate

Asset Class	Target Allocation	Allowable Range
Equity	55.0%	45% – 65%
Fixed Income	35.0%	25% – 45%
Real Assets	8.0%	3% – 12%
Cash & Equivalents	2.0%	0% – 5%

The target allocation indicates how we plan to allocate assets as of the date this report was signed. Changes to investment objectives, risk tolerance, time horizon, or cash needs should be communicated to the Advisor so this allocation can be re-evaluated.

7. Investment Philosophy

a. Overview

Consistent with Modern Portfolio Theory, PFA seeks to maximize return for a given level of risk corresponding to the Client's risk tolerance. Using an optimized combination of non-correlated assets, we strive to attain the highest possible Sharpe Ratio for the Portfolio.

b. Sleeve Approach

Optimal return at a target risk level is achieved through a combination of strategic and tactical asset allocation. Strategic target weights are assigned to broad asset class sleeves. Tactical allocations may overweight asset classes, regions, or sectors presenting a greater value opportunity.

c. Investment Selection Criteria

When selecting funds and ETFs, preference is given to instruments with strong total return rankings, low expense ratios, minimum asset size of \$100M, and Sharpe ratios above their peer means. For individual equities, a bottom-up approach is used comparing fundamentals including ROE, Earnings Yield, FCF/EV, Current Ratio, and Debt Ratio. Client preference for low-cost index funds and ETFs is prioritized where appropriate.

d. Taxes

Tax efficiency will be considered for all taxable account holdings. Tax-loss harvesting will be employed where practical. Long-term capital gains and qualified dividends are the preferred rates at which income will be realized.

Rebalancing will be prioritized within tax-advantaged accounts to minimize tax impact.

8. Performance Evaluation and Reporting

Portfolio performance evaluation is available through quarterly reports and ongoing meetings. Our evaluations will measure performance against the following benchmarks:

Asset Class	Benchmark
Fixed Income	Bloomberg U.S. Aggregate Bond Index
Equities	60% S&P; 500 / 40% MSCI ACWI ex-US
Real Assets	Bloomberg Commodity Index

9. Rebalancing

The Portfolio will be reviewed on a quarterly basis, with rebalancing executed when allocation drifts beyond the allowable ranges defined in Section 6. More or less frequent rebalancing may take place at the Advisor's discretion based on market conditions or significant portfolio drift. Rebalancing will be prioritized in tax-advantaged accounts to minimize tax impact in the joint brokerage account.

10. Investment Policy Review

To assure continued relevance of the guidelines and objectives established in this statement, the Client will review this Investment Policy Statement at least annually. This IPS supersedes all prior written IPSs and understandings with respect hereto.

11. Advisor Notes

Retirement Timeline: John plans to retire at age 65 (in 3 years) from his position as a university professor. He and his wife Sarah (age 63, retired teacher) plan to relocate to coastal Maine. Portfolio should transition gradually toward income generation while maintaining moderate growth exposure.

Pension Income: John will receive \$45,000/year from his university pension starting at age 65. Sarah receives \$32,000/year from her teacher's pension. Combined Social Security benefits estimated at \$58,000/year starting at age 67 (delayed claiming strategy). Total fixed income: approximately \$135,000/year in retirement.

Tax-Loss Harvesting Opportunity: The joint brokerage account (Vanguard) holds several positions with unrealized losses from the 2022 market downturn. A tax-loss harvesting strategy should be implemented over the next 2–3 years to offset future capital gains and generate tax alpha.

RMD Planning: The TIAA Traditional 403(b) and Vanguard Rollover IRA will trigger Required Minimum Distributions (RMDs) at age 73. Combined RMD is projected at approximately \$70,000/year initially. A Roth conversion ladder strategy should be evaluated during the age 65–73 window to manage future tax liability.

12. Signatures

I have reviewed and approve the discussion above. I agree with the Investment Policy Statement as outlined in this document. I further agree that this document shall provide the guidelines under which my investment portfolio will be managed.

John Smith (Client)

Date

Advisor

Date

Chief Compliance Officer

This Investment Policy Statement is not a contract of any kind. It is only meant to be a summary of our agreed-upon investment strategy. All investing involves risk. Past performance does not guarantee future results. Penobscot Financial Advisors is a SEC Registered Investment Adviser.